

Separation Policy

Version 1.3

VERSION No.	VERSION DATE	DESCRIPTION OF CHANGE	AUTHOR	REVIEWED BY
1.0	1 Feb 2017	Initial Version	Ankita Khare	Sanyukta Vohra
1.1	1 Apr 2018	Exit Process and Terms & Conditions	Pallavi/Ridula	Sumit Shukla
1.2	30 Sept 2019	Added a Type of separation and Full & Final formalities	Pradnya. D	Sanyukta Vohra
1.3	3 Aug 2020	Variable & Bonus related clause during separation	Pradnya. D	Sanyukta Vohra

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Objective:

To clearly outline the guidelines for employees regarding separation from employment

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Scope:

The policy covers following types of separation:

- ❖ **Resignation:** A resignation is a voluntary separation from employment.
- ❖ **Termination:** A termination is an involuntary separation from employment.
- ❖ **Absconding:** To be on unauthorized absence from the services for more than 3 consecutive days, without any prior notice and being unavailable when contacted.
- ❖ **Retirement:** Employees attaining age of 60 years and retiring from service.
- ❖ **Death:** An employee who expires while on the rolls of the service for any

Eligibility:

The policy is applicable to all employees on the payroll of Apar Technologies Private Limited.

RESIGNATION

- Apar is always unhappy to see an employee resign, but if an employee has decided to do so, s/he must submit a letter of resignation to his reporting manager, with a copy to the HR Manager HR..
- Once the resignation is accepted by the RM after due discussions with employee, the Knowledge Transfer plan is to be made and communicated by the RM to the employee.
- HR will send a resignation acceptance email to the employee confirming his LWD and providing details on the exit process.
- On the last working day (LWD) the employee has to get clearances done from his Reporting Manager and other concerned functions. For this, the No-Dues checklist is to be duly filled and submitted to HR.
- Please note ,It is the employee's responsibility to get the clearances done in time.
- The employee has to sign the NOC on their full & final settlement in order to process the same.
- In case the employee wishes to avail some tax benefits, s/he needs to attach the actual proof of all investments made towards rebate on Income Tax and submit the same to HR.
- The employee will also need to go through an exit interview with the HR Manager.
- If the Last Working Day (LWD) of an employee falls on a weekend or company holiday, in such case, the previous working day will be considered as the LWD.
- If an employee resigns before completion of their probation period, the employee agrees to reimburse one month salary to the company in addition to serving one month notice.
- If the employee resigns prior to scheduled date for performance appraisal & the resignation had been accepted by concerned authority, he/she would Not be eligible:
 - i. To be part of organization's appraisal cycle.
 - ii. For any extra salary benefits like variable, bonus, incentives declared, accrued or assumed variable/bonus etc. for the current and/or previous year; except monthly salary & notice period/pay.

TERMINATION

Termination of employment may happen to due to one or more of the following reasons, though not limited to these reasons –

- Disciplinary Reasons: Applicable when an employee's services are terminated as a result of Gross violation of Policy/Process or Values of the Organization on accordance with the principles of natural justice.
- Performance Issues: Applicable when an Employee's performance is consistently below par despite being communicated on the same and the employee has already gone through documented Performance Improvement Plan (PIP).
- Retrenchment: Applicable when due to business reasons, the management takes a decision to reduce headcount and hence employees are released from employment. The procedure provided in the relevant applicable Industrial Dispute Act, about payment of retrenchment compensation and the principle of last come first go etc. shall be followed.
- On termination, the employee with not be qualified for any salary related entitlements like variable, bonus, incentives declared, accrued or assumed variable/bonus etc. for the current and/or previous year.
- On termination on cause of performance issue or disciplinary grounds, employee will not be eligible for notice period or pay in lieu of it.

In case of termination due to disciplinary action:

- When such an incident is reported, the HR looks into the matter and discusses the same with the RM/BU Head and the CEO if need be, so that a final decision on termination may be taken.
- The HR then initiates the Full and final Settlement. Once the Clearances are completed, the Experience Letter is handed over to the Employee.
- In case of termination, the employee may be relieved of his duties with immediate effect after due hand-over of his duties to his successor as identified by his BU Head/Reporting Manager

In case of termination due to Performance Issues:

- When Separation takes place due to performance issues, the same may be discussed by the HR with the Reporting Manager/BU Head and the final decision of termination of employment on the basis of evaluation results in the PIP is communicated to the employee.
- On Completion of the KT process, Notice Period (if any), the final dues and experience cum relieving letter will be issued in the subsequent payroll cycle subject to the approvals of exit clearance from IT, admin & concerned department and submission of:
 - i. Clearance form
 - ii. Exit Feedback form

In case of termination due to Retrenchment:

- When a need for retrenchment is identified, the same is first discussed with a panel consisting of CEO,MD and BU Head. Once the same is approved by the panel, the HR in

consultation with the BU head of the affected BU identifies the possible names of individuals for retrenchment. The individuals are identified based on their current role and responsibilities while ensuring that the selection of workers for dismissal is based on principles that are fair and transparent and do not discriminate against particular groups.

- Once this list is ready, it is sent for approval to the MD/CEO.
- Once approved, the HR then initiates a discussion with the “to-be” affected employees and formally communicates to them, explaining the management decision and the need for such an action.
- HR initiates the exit for the employee and on Completion of the KT, Notice Period (if any), exit interview and submission of no dues checklist.
- The employee is handed over the Experience Letter and full and final settlement is done in the subsequent payroll cycle subject to the approvals of exit clearance from IT, admin & concerned department and submission of:
 - i. Clearance form
 - ii. Exit Feedback form

ABSCONDING

- Once Information is received from Reporting Manager/ Attendance Team, regarding an employee’s continuous and unauthorized absence for a maximum of 2 days, the HR immediately tries to get in touch with the employee. In case the employee is unreachable, the first warning email is issued. If the employee doesn’t respond or report to work within 3 working days a Show Cause letter is also issued.
- In case there is no revert from the employee, within a week, the HR initiates the exit process. Once all the departments give clearance/ mention details of recovery, the Full & Final Settlement sheet is prepared and sent to the employee along with a Termination Letter.
- If there is some amount to be recovered from the employee, a reminder notice is sent after a week. If the employee doesn’t respond, the case is closed in the records.
- No experience letter is issued in such a case. Also, all the salary related entitlements like variable, bonus, incentives declared, accrued or assumed variable/bonus etc. for the current and/or previous year will be ceased.

RETIREMENT

- An employee retires on the last working day of the calendar month in which he / she completes the age of 60 years.
- The HR informs the BU Head of an employee’s retirement 6 months in advance.
- A retiring employee is entitled to Gratuity (if eligible), and other annual benefits as per company’s policies in line with statutory regulations, subject to submission of the required forms (if any), which will be processed along with the Full & Final Settlement.
- All other processes, like exit discussion and clearances must be completed as per process for the Experience Letter and Full and Final Settlement to be prepared within the stipulated time as per policy.

DEATH – IN – SERVICE

- An employee who expires while on the rolls of the service for any reason whatsoever will automatically be terminated from the services of the company. Based on the tenure of his service rendered to the company, his nominees will be eligible for the following benefits:
 - i. Salary of the employee up to the last working day of the employee.
 - ii. Gratuity to be calculated on prorata basis till the last working day even if the employee has not completed 5 years of service.
- HR will circulate “Clearance Form” on behalf of the deceased employee to all concerned.
- Accordingly, the Full & Final Statement of Dues with the company will be settled.

NOTICE PERIOD

- The notice period will be applicable as per the Exit policy/Appointment Letter
- Salary for the notice period shall be paid or recovered, as the case maybe, in lieu of notice period not served by the employee or shortfall in notice by the company. However, the option to relieve an employee prior to completion of the mentioned notice period rests exclusively with the Company.
- Request for waiver of notice period upon resignation will need an approval from the respective BU-Head/CEO. Also, the company reserves the right not to accept notice pay in lieu of the notice period.

Salary of an employee who has Resigned:

1. Once an employee sends in his/her resignation, their salary for that month will be put on hold.
2. The salary for next month will be released to the employee in the regular manner.
3. The held-back salary of one month for the employee will be paid along with the full and final settlement.

Leave during Notice Period

If you elect to avail leave during the notice period, the notice period shall be extended by a duration equivalent to the number of leave days taken. Leave taken more than eligibility or without prior notice will be considered as unpaid leave.

EXIT FORMALITIES

It is the responsibility of the concerned Dept to ensure that the following items are retrieved from the departing employee before signing the “Clearance Form” or specify the same as outstanding on the ‘Clearance Form as per the applicable

S.No	Particulars	Department concerned	Responsibility
1	Laptop and any accessories issued to the employee	IT	Manager
2	E-mail allocated to the employee to be disabled	IT	Manager
3	Mobile Handsets and SIM Card, if issued to the employee to the employee	Administration / HR	Manager
4	Any other official/marketing material if issued to the employee	Administration / HR	Manager
5	Any Office Equipment, tools, calculators or any company property	Administration / HR	Manager
6	All correspondence files if issued to the employee	Respective Department	
7	All manuals, Project or Function related study material including confidential correspondences if issued to the employee	Respective Department	
8	Identity card	HR	Manager

HR will forward a “Notification of Employee Leaving Details” to the IT Team within 24 hrs. of the employee’s exit to deactivate the Access Card and Biometric access system . The same will be informed to the IT, Admn and the Respective Department for absconding employees on the 5th date of non reporting to work. All access will be removed on that day.

Asset Theft/Damage-

In case an employee reports for their asset lost as theft then they need to submit the copy of FIR in finance department and inform IT about the asset theft/stolen. IT team will raise an incident through mail for any theft of asset as soon as they receive intimation and inform HR team to report incident and finance department to coordinate further for Insurance claim (if any). If deduction needs to be done IT team will share the quote with HR & employees for recovery. On confirmation, HR will initiate the deduction.

Exit Interview

- The employee will be required to complete an exit interview with the Human Resources Department on the Last working day (LWD).
- All information will be kept strictly confidential and will in no way affect any reference information that Apar will provide to another employer about the concerned employee.

Full and Final Settlement

Full and Final Settlement of Dues will be paid anytime within 30 days from the employee’s last working day subject to the approvals of exit clearance from IT, admin and concerned department and submission of:

- Clearance form

- Exit Feedback form
- Exit Interview

PF is settled separately online as prescribed by the government. Along with the full final settlement, the following items will be taken care of:

- Balance salary payable / recoverable.
- Gratuity, if applicable.
- Recoveries for advance outstanding, unserved notice period, income tax etc
- Gratuity, if applicable.
- Any bonus, if applicable
- Recoveries for loan, advance outstanding, un-served notice period, Income Tax, etc.

The experience certificate will be issued to the employee once the FnF payment is made. The experience certificate will be sent on employee's personal email ID and the hard copy can be collected from the HR department.

If an employee needs an experience letter prior to the settlement of Full & Final Payment, he/she may request the same by sending an email to the HR Manager. The HR Manager will issue the experience letter within 3 days of receiving such request subject to:

1. Submission of Clearance check list and Exit Form
2. Handover of Company Property
3. Completion of KT as requested by the Reporting Manager